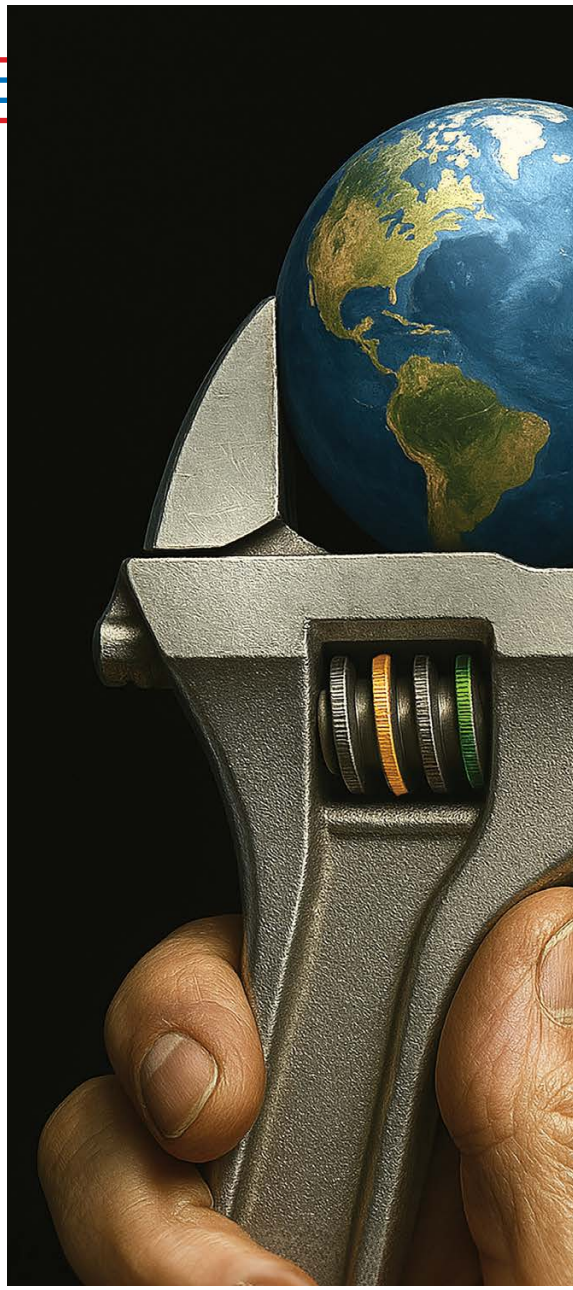


By **R.C. Bhargava**

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Change to Prosper

Industry must forgo protectionist armour and work toward being competitive. It must do so with the help of the government as well as through a partnership approach



Most human beings resist change. Business systems and practices in companies continue unchanged for long periods. President Donald Trump, with his radical interpretation of economic laws, has forced the world to consider making changes. We in India are no exception and industry leaders have to work with the government to find the best way forward.

The government has done well to engage the USA in bilateral trade negotiations. While the outcome cannot obviously be predicted, I believe that it will lead to a trade environment that is based on more reciprocity and lower import duties. The 90-day extension is only part of his strategy to bring all to the negotiating table and force countries to lower tariffs on US products. Countries will have to agree, but they will get the USA to also lower tariffs. The end result will be lower tariffs all round. As a country seeking access to global markets to enable manufacturing to grow faster, we cannot any longer hide behind custom duty walls. Indian companies need to rapidly increase competitiveness to successfully grow and prosper.

The increased efficiency and competitive ability of industries will come from efforts both by the central and state governments as well as industry itself. The efficiency of the state governments providing infrastructural support to industry must substantially improve. The rules and procedures of work need to become growth-friendly, and technology used to bring in transparency and speed in decision-making. Shortening the time taken in all industry-government interactions is critical for enhancing competitiveness. Decision-makers should not fear taking bona fide decisions that help entrepreneurs reduce costs and increase profits.

Post-independence industrial growth was promoted behind a strong curtain of protection, both from imports and domestic competition. This led to mindsets and management practices that now have to be modified to meet the situation likely to develop. Seeking protection would be counter-productive. Some pain may have to be endured to rapidly become globally competitive.

To an extent, seeking protection was justified by past government policies which added to the costs of domestic production. After 2014, a large number of reforms have been implemented, and the playing field is much more level. Nevertheless, more needs to be done, especially by the state governments. Trust levels between politicians, bureaucrats and industrialists have to be much higher. The states should proactively promote private

Illustration by **NILANJAN DAS**